

No precise game plan ahead of time as to what to do in the event of losses. They simply were not aware of such a possibility. Both bought more bonds after the market declined sharply, but not in response to a predetermined plan.

Absence of critical thinking expressed in absence of revision of their stance with "stop losses". Middlebrow traders do not like selling when it is "even better value". They did not consider that perhaps their method of determining value is wrong, rather than the market failing to accommodate their measure of value. They may be right, but, perhaps, some allowance for the possibility of their methods being flawed was not made. For all his flaws, we will see that Soros seems rarely to examine an unfavorable outcome without testing his own framework of analysis.

Denial. When the losses occurred there was no clear acceptance of what had happened. The price on the screen lost its reality in favor of some abstract "value". In classic denial mode, the usual "this is only the result of liquidation, distress sales" was proffered. They continuously ignored the message from reality.

How could traders who made every single mistake in the book become so successful? Because of a simple principle concerning randomness. This is one manifestation of the survivorship bias. We tend to think that traders make money *because* they are good. Perhaps we have turned the causality on its head; we consider them good just because they make money. One can make money in the financial markets totally out of randomness.

Both Carlos and John belong to the class of people who benefited from a market cycle. It was not merely because they were involved in the right markets. It was because they had a bent in their style that closely fitted the properties of the rallies experienced in their market during the episode. They were *dip buyers*. That happened, in hindsight, to be the trait that was the most desirable between 1992 and the summer of 1998 in the specific markets in which the two men specialized. Most of those who happened to have that specific trait, over the course of that segment of history, dominated the market. Their score was higher and they replaced people who, perhaps, were better traders.

Naïve Evolutionary Theories

This story illustrates how bad traders have a short- and medium-term survival advantage over good traders. Next we take the argument to a higher level of generality. One must be either blind or foolish to reject the theories of Darwinian self-selection. However, the simplicity of the concept has drawn segments of amateurs (as well as a few professional scientists) into blindly believing in continuous and infallible Darwinism in all fields, which includes economics.

The biologist Jacques Monod bemoaned a couple of decades ago that everyone believes himself an expert on evolution (the same can be said about the financial markets); things have gotten worse. Many amateurs believe that plants and animals reproduce on a one-way route towards perfection. Translating the idea in social terms, they believe that companies and organizations are, thanks to competition (and the discipline of the quarterly report), irreversibly heading towards betterment. The strongest will survive; the weakest will become extinct. As to investors and traders, they believe that by letting them compete, the best will prosper and the worst will go learn a new craft (like pumping gas or, sometimes, dentistry).

Things are not as simple as that. We will ignore the basic misuse of Darwinian ideas in the fact that organizations do not reproduce like living members of nature – Darwinian ideas are about reproductive fitness, not about survival. The problem comes, as everything else in this book, from randomness. Zoologists found that once randomness is injected into a system, the results can be quite surprising: what seems to be an evolution may be merely a diversion, and possibly regression. For instance, Steven Jay Gould (admittedly more of a popularizer than a genuine scientist) found ample evidence of what he calls "genetic noise", or "negative mutations", thus causing the wrath of some of his colleagues (he took the idea a little too far). An academic debate ensued, plotting Gould against colleagues like Dawkins who were considered by their peers as better trained in the mathematics of randomness. Negative mutations are traits that survive in spite of being worse, from the reproductive fitness standpoint, than the ones they replaced. However, they cannot be expected to last more than a few generations (under what is called temporal aggregation).